THE TRANSFER OF PROPERTY ACT, 1882

Jurisdiction: Central Legislation (Act No. 4 of 1882) - Chapter V (Leases)

Statutory baseline provisions governing leases of immovable property, lessor/lessee rights, liabilities, and determination of leases under Indian Law.

CHAPTER V: OF LEASES OF IMMOVABLE PROPERTY

Section 105 - Lease Defined:
A lease of immovable property is a transfer of a right to enjoy such property, made for a certain time, express or implied, or in perpetuity, in consideration of a price paid or promised, or of money, a share of crops, service or any other thing of value, to be rendered periodically or on specified occasions to the transferor by the transferee, who accepts the transfer on such terms.
The transferor is called the lessor, the transferee is called the lessee, the price is called the premium, and the money, share, service or other thing to be so rendered is called the rent.

Section 106 - Duration of Certain Leases in Absence of Written Contract:
(1) In the absence of a contract or local law or usage to the contrary, a lease of immovable property for agricultural or manufacturing purposes shall be deemed to be a lease from year to year, terminable, on the part of either lessor or lessee, by six months' notice; and a lease of immovable property for any other purpose shall be deemed to be a lease from month to month, terminable, on the part of either lessor or lessee, by fifteen days' notice.
(2) The period of notice shall commence from the date of receipt of notice.

RIGHTS AND LIABILITIES OF LESSOR AND LESSEE

Section 108 - Rights and Liabilities of Lessor and Lessee:
In the absence of a contract or local usage to the contrary:
(A) Rights and Liabilities of the Lessor:
(a) The lessor is bound to disclose to the lessee any material defect in the property;
(b) The lessor is bound on the lessee's request to put him in possession of the property;
(c) The lessor shall be deemed to contract with the lessee that the lessee may hold the property during the time limited by the lease without interruption (covenant of quiet enjoyment).

(B) Rights and Liabilities of the Lessee:
(f) If the lessor neglects to make any repairs which he is bound to make, the lessee may make them himself and deduct the expense from the rent;
(g) If the lessor neglects to make any payment which is recoverable from the property, the lessee may make such payment and deduct it from the rent;
(m) The lessee is bound to keep, and on termination of the lease to restore, the property in as good condition as it was in at the time when he was put in possession, reasonable wear and tear accepted;
(o) The lessee must use the property as a person of ordinary prudence would use his own.

DETERMINATION OF LEASE & FORFEITURE

Section 111 - Determination of Lease:
A lease of immovable property determines:
(a) by efflux of the time limited thereby;
(b) where such time is conditioned on the happening of some event, by the happening of such event;
(c) by the surrender of the lease by mutual agreement;
(d) by forfeiture in case the lessee breaks an express condition providing for re-entry;
(e) on the expiration of a notice to determine the lease, or to quit, or of intention to quit, the property leased, duly given by one party to the other.

Section 116 - Effect of Holding Over:

If a lessee remains in possession thereof after the determination of the lease, and the lessor or his legal representative accepts rent from the lessee, or otherwise assents to his continuing in possession, the lease is, in the absence of an agreement to the contrary, renewed from year to year, or from month to month, according to the purpose for which the property is leased.